

# AZ.1 The Code Is Local, the Permit Is Not

What is statewide in Arizona and what is not — the permit no county may waive, the exemption, the deed you record, and the statement you sign.

## Before you use this document

This is a process reference, not legal advice. Arizona adopts no statewide residential building code — every code that binds a house is adopted locally, by ordinance, and the edition on your permit is whatever your city or county's adopting ordinance says it is. What is **not** local: a county building permit is required by statute for any construction over \$1,000, and inside a city the city's own permit ordinance governs; the owner-builder exemption, the signed statement you file with every permit application, the septic general permit and the well rules are all state law and apply whether or not anyone will ever inspect the framing. The unit is the **jurisdiction** — a city inside a county routinely differs from the county around it, and the city has statutory permit clocks the county does not. Confirm every item with the office that will actually handle your parcel before you rely on it. Statute text was read on the Arizona Legislature's own site in September 2026, the Cochise County amendment from the county's posted ordinance, and the no-code letter from Greenlee County's own site. Where a sentence is quoted, it is quoted verbatim.

## THE SHORT VERSION

Arizona is the state where **the code is local but the permit is not** — and where the owner-builder rules everyone quotes as "varies by jurisdiction" are, at the state level, fixed by four sections of the Revised Statutes.

### The Arizona position at a glance

| Question                                       | Arizona's answer                                                                                                                                                                                                                                                                                                                                                      |
|------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Do you need a license to build your own house? | <b>No.</b> An owner who improves their own property "themselves, with their own employees or with duly licensed contractors" is exempt from the contractor chapter, if the house is for the owner's occupancy and "not intended for sale or for rent" (A.R.S. § 32-1121(A)(5)). The definition of residential contractor expressly excludes you (§ 32-1101(A)(10)(b)) |
| Is there a statewide building code?            | <b>No.</b> A county "may" adopt one and may exempt rural zones from it (A.R.S. § 11-861(A)); a city adopts one by reference in a published ordinance (§ 9-802). No state agency adopts a residential, energy or electrical code                                                                                                                                       |
| Do you need a building permit?                 | <b>Yes, everywhere.</b> Every board of supervisors "shall require a building permit for any construction of a building ... exceeding a cost of \$1,000" (A.R.S. § 11-321(A)); inside a city, the city's own ordinance governs. A "no-permit county" does not exist. What varies is whether the permit carries a code                                                  |

## The Arizona position at a glance

| Question                                 | Arizona's answer                                                                                                                                                                                                                                                                                                                      |
|------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| So what is a "no-code county"?           | <b>Greenlee.</b> Its engineer: "Greenlee County has adopted no building codes ... With some exceptions, Arizona Law requires the County to issue a building permit." Two other counties — Cochise on parcels of four acres or more, Coconino under 600 sq ft — let you opt out of plan review and inspection while keeping the permit |
| May you do your own wiring and plumbing? | <b>At the state level, yes.</b> Arizona licenses contractors, not tradespeople, and "only contractors ... are licensed and regulated by this chapter" (A.R.S. § 32-1101(B)). Whether your city issues you the permit is local — and every site read draws the line at rentals                                                         |
| What is the one-year rule, really?       | Selling, renting, <b>or offering</b> the house within a year of completion is "prima facie evidence" you built for sale — rebuttable, and <b>switched off entirely</b> for an owner-occupant under § 33-1002: deed recorded before construction, 30 days' residence after                                                             |
| What do you sign?                        | A statement, on every permit application, of the exemption you claim <b>and the name and license number of every licensed contractor you will use</b> (A.R.S. § 32-1169(A)). A false one is unsworn falsification (§ 32-1169(B))                                                                                                      |
| What about septic and the well?          | Both statewide. A septic system runs on an ADEQ general permit administered by your county (A.R.S. § 49-241(B)(9)); a well needs a notice of intent to ADWR before drilling (§ 45-454(G)). You may drill your own exempt well on a no-fee single well license, after an exam (§ 45-595(D)). AZ.2                                      |

*Arizona Revised Statutes Title 9, Chapter 7 (municipal codes and licensing time frames); Title 11, Chapters 2, 6 and 11 (county permits, codes and licensing); Title 32, Chapter 10 (Registrar of Contractors); Title 33, Chapter 7 (liens); Title 45 and Title 49 (wells; aquifer protection). All read September 2026.*

## FIRST — NO STATEWIDE CODE, ONE STATEWIDE PERMIT

The county statute is permissive about the **code**: "In any county that has adopted zoning pursuant to this chapter, the board of supervisors **may** adopt and enforce, for the unincorporated areas of the county so zoned, a building code and other related codes ... **except that the board may authorize that areas zoned rural or unclassified may be exempt from the provisions of the code adopted**" (A.R.S. § 11-861(A)). Three things follow. A county building code is optional. A county may carve rural zones out of it — the statutory root of both county opt-outs below. And it is conditioned on zoning. The same statute is not permissive about the **permit**:

### Arizona Revised Statutes § 11-321(A) — the permit no county may waive

"Except in those cities and towns that have an ordinance relating to the issuance of building permits, the board of supervisors **shall require a building permit for any construction of a building or an addition to a building exceeding a cost of \$1,000** within its jurisdiction. The building permit shall be filed with the board of supervisors or its designated agent."

And the permit is a tax event. One copy of every permit goes to the county assessor and one to the Department of Revenue, with the permit number, issue date and parcel number; both are notified again on the certificate of occupancy, completion, expiration or cancellation (§ 11-321(G); § 9-467(A) for cities). "Nobody will know" is not an Arizona option.

The zoning statute adds its own permit and its own penalty: "it is unlawful to erect, construct, reconstruct, alter or use any building or other structure within a zoning district covered by the ordinance without first obtaining a building permit from the inspector," on "a sketch of the proposed construction containing sufficient information for the enforcement of the zoning ordinance" (§ 11-815(B)). Violation is a **class 2 misdemeanor** and "Each day ... is a separate offense" (§ 11-815(C)); any neighboring owner "who is specially damaged" may sue to abate (§ 11-815(H)).

**So the correct sentence is:** every Arizona county must issue a building permit for a house. What differs is whether that permit carries a building code — plan review and inspections — or is only a zoning, floodplain and assessor permit. Greenlee County's own engineer says it exactly this way:

### Greenlee County — the one county with no code, in its own words

From the County Engineer's letter posted on the county's Planning & Zoning page (dated 19 October 2012, still posted September 2026): "Currently, Greenlee County has adopted no building codes. Because we have no codes, Greenlee County has not determined and does not recommend building loads, does not review plans, does not inspect construction, or issue a Certificate of Occupancy. I suggest that owners contract for inspections and use a conservative Building Code. **With some exceptions, Arizona Law requires the County to issue a building permit. We issue a building permit at no cost when a Zoning Use Permit and Floodplain Permit are issued.**"

That last sentence is § 11-321(A) in practice. No code county is not no permit county — and every statewide rule in this kit, from the septic setbacks to the exemption statement, applies in Greenlee exactly as it applies in Phoenix.

**Where the edition lives.** A city enacts a code by reference, but "the adopting ordinance shall be published in full" and filed with the clerk (A.R.S. § 9-802); a county's likewise (§ 11-864). The authoritative statement of which code edition binds your lot is **the adopting ordinance on file with the clerk**, not the building department's web page. Ask for the number; AZ.2 has the line.

## THE TWO COUNTY OPT-OUTS — FROM INSPECTION, NOT FROM THE PERMIT

Both rest on the rural-zone exemption in § 11-861(A). Both keep the permit. Both leave a mark on the title. Read from the counties' own ordinance text and program pages, September 2026.

### Cochise County Owner-Builder Amendment · Coconino County Alternative Methods and Materials Permit

|                                 | Cochise (≥ 4 acres)                                                                                                                                                                                                                                                                                                                                                                                            | Coconino (≤ 600 sq ft)                                                                                                                                                          |
|---------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Who qualifies</b>            | A "Rural Residential Owner-Builder" — the § 32-1121(A)(5) definition, verbatim — on a parcel " <b>at least four-acres</b> " in a zoning district "with a minimum parcel size of four-acres per dwelling unit" (Sec. 1). Usable " <b>once in every five years</b> " for a dwelling on all of that owner's unincorporated Cochise parcels (Sec. 2)                                                               | Zoning AR or G; parcel of at least 2 acres; <b>600 sq ft</b> interior or less; one story; an alternative method or material; owner-occupied and not rented or sold for one year |
| <b>What you skip</b>            | <b>Option 1:</b> full plan review, but "only limited Building Code inspections dealing with the trade areas of Mechanical, Electrical, Plumbing and Fire Prevention." <b>Option 2:</b> "no building code inspections ... no construction plans are required to be submitted or reviewed" (Sec. 5). Plans may be hand-drawn (Sec. 9)                                                                            | "Projects participating in this program will not be required to apply for a traditional building permit or undergo plan review or building inspections"                         |
| <b>What survives</b>            | "By statute, this exemption does not exempt owner-builders from state, county building codes, or fire-district adopted fire codes and regulations regarding smoke detectors, nor ... from health regulations regarding wastewater treatment systems" (Sec. 1); "all permits required under State law and County ordinance" (Sec. 7). Near a military airport, sound attenuation under § 28-8482(B) (Sec. 4(B)) | Signed affidavits of electrical, mechanical, fire and plumbing compliance at completion; the statewide septic and well rules apply regardless (AZ.2)                            |
| <b>The mark on the title</b>    | "Each time a permit is issued pursuant to this amendment ... a notice that a permit has been issued pursuant to the provisions of this article <b>shall be recorded with the County Recorder</b> " (Sec. 6). Use of the amendment "would be considered a factor against a rezoning to a higher density" (Sec. 27)                                                                                              | A recorded <b>Notice of Disclosure Statement</b>                                                                                                                                |
| <b>Certificate of occupancy</b> | Option 1: a " <b>conditioned</b> Certificate of Occupancy" (Sec. 16). Option 2: the county page states it is "not eligible for a Certificate of Occupancy"                                                                                                                                                                                                                                                     | None                                                                                                                                                                            |

## Cochise County Owner-Builder Amendment · Coconino County Alternative Methods and Materials Permit

|                | Cochise ( $\geq 4$ acres)                                                                                                                                                                                                                                                    | Coconino ( $\leq 600$ sq ft)                                          |
|----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------|
| <b>Details</b> | Permit life <b>36 months</b> plus one 12-month extension (Sec. 12); inspections requested <b>24 hours</b> ahead (Sec. 15); "Potable water shall be available" (Sec. 22); no dwelling "shall be required to be connected to a source of electrical power, or wired" (Sec. 21) | A cabin program, not a house program — the 600-sq-ft cap decides that |

Cochise County, "Amendment to the Cochise County Building Safety Code for Rural Residential Owner-Built Dwellings and Accessory Structures" (county PDF) and its Owner-Builder Amendment page; Coconino County, Alternative Methods and Materials Permit page. **Three consequences before you choose.** A lender or buyer will ask for the certificate of occupancy, and under Option 2 or the AMMP it cannot be obtained later. The recorded notice follows the title forever. And the one-year clock in § 32-1121(A)(5) runs from "completion or issuance of a certificate of occupancy" — where none issues, the only start date is completion, a fact you should document the day it happens.

## THE EXEMPTION — A.R.S. § 32-1121(A)(5), VERBATIM

One paragraph carries the whole owner-builder position. Every summary of it that circulates leaves out at least one of its five moving parts, so here it is whole, with the parts marked.

### The chapter does not apply to —

"Owners of property who improve such property or who build or improve structures or appurtenances on such property and who do the work **themselves, with their own employees or with duly licensed contractors**, if the structure, group of structures or appurtenances, including the improvements thereto, are intended for occupancy **solely by the owner** and are not intended for occupancy by members of the public as the owner's employees or business visitors and the structures or appurtenances are **not intended for sale or for rent**.

In all actions brought under this chapter, **except an action against an owner-occupant as defined in section 33-1002**, proof of the sale or rent **or the offering for sale or rent** of any such structure by the owner-builder within one year after completion or issuance of a certificate of occupancy is **prima facie evidence** that such a project was undertaken for the purpose of sale or rent. For the purposes of this paragraph, 'sale' or 'rent' includes any arrangement by which the owner receives compensation in **money, provisions, chattels or labor** from the occupancy or the transfer of the property or the structures on the property."

## Five things the paragraph actually says

| The part                                             | What it does                                                                                                                                                                                                                                  |
|------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>1. The trigger is "offering."</b>                 | Sale, rent, "or the offering for sale or rent." Listing the house, or advertising it for rent, inside the year is enough to raise the presumption — whether or not anyone bites                                                               |
| <b>2. The clock has two possible starts.</b>         | "Completion or issuance of a certificate of occupancy." Where no CO will ever issue — Greenlee, Cochise Option 2, the Coconino AMMP — the only start is "completion," a fact question you should date and document yourself                   |
| <b>3. It is "prima facie evidence" — rebuttable.</b> | Not a bar on selling. It shifts the burden onto you to show you did not build for sale: a mortgage in your name, utilities, voter registration, a genuine reason for the move. Survivable with records; miserable without them                |
| <b>4. It is switched off for an owner-occupant.</b>  | "Except an action against an owner-occupant as defined in section 33-1002." That definition — a recorded deed before construction and 30 days' residence in the year after — is the next section, and it is the same status that blocks liens |
| <b>5. "Rent" includes "labor."</b>                   | Letting a helper live in the house in exchange for work is compensation "from the occupancy," which the statute calls rent. This is the trap every state hides somewhere; Arizona puts it in the definition                                   |

**And three things it does not say.** There is no "once per 24 months" rule, no "once per five years" rule, and no "must live in it two years" rule anywhere in § 32-1121. The five-year figure is Cochise County's local limit on its opt-out permit and nothing else; the 24-month figure appears on at least one municipal FAQ and has no statutory source. **The developer route is separate:** an owner building "for the purpose of sale or rent" is exempt only by contracting the whole project with a licensed general contractor whose "names and license numbers shall be included in all sales documents" (A.R.S. § 32-1121(A)(6)). There is no owner-as-general-contractor route to a spec house in Arizona.

## THE OFF-SWITCH — RECORD THE DEED, MOVE IN

The phrase "owner-occupant as defined in section 33-1002" is the most valuable cross-reference in the chapter, because § 33-1002 is the mechanics' lien statute. Qualify under it and two things happen at once: the one-year presumption cannot be used against you, and no subcontractor or supplier can lien your house.

### Arizona Revised Statutes § 33-1002 — who is an owner-occupant, and what it buys

An "owner-occupant" is a natural person who "(a) Prior to commencement of the construction ... holds legal or equitable title to the dwelling by a deed or contract for the conveyance of real property **recorded with the county recorder** ... and (b) Resides or intends to reside in the dwelling **at least thirty days during the twelve-month period immediately following completion** ... and does not intend to sell or lease the dwelling to others" ((A)(2)).

Evidence of intent may be "The placing of his or her personal belongings and furniture in the dwelling" and "Occupancy either by the person or members of his or her family."

"No lien provided for in this article shall be allowed or recorded by the person claiming a lien against the dwelling of a person who became an owner-occupant prior to the construction ... **except by a person having executed in writing a contract directly with the owner-occupant**" ((B)). Any waiver of the section "is void" ((C)).

**Read the two conditions as instructions.** The deed or purchase contract must be *recorded*, in your own name as a natural person, before the first shovel — an LLC or a trust is not a natural person, and a deed recorded a week into the footings misses the definition by a week. Then live in the house for thirty days within the year after it is finished. Do those two things and the one-year rule is not a rule about you.

### The lien shield, worked

|                                      | What the statute says                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Cite                             |
|--------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------|
| <b>Who can lien the house</b>        | Only "a person having executed in writing a contract directly with the owner-occupant." Your electrician's supplier, your framer's sub, the lumberyard your plumber uses — none of them, unless you signed with them yourself. Outside the shield, every contractor "is the agent of the owner for the purposes of this article, and the owner shall be liable for the reasonable value of labor or materials furnished to his agent" — which is how a sub's supplier reaches an owner who is not an owner-occupant | A.R.S. § 33-1002(B); § 33-981(B) |
| <b>The paper that arrives anyway</b> | "Except for a person performing actual labor for wages, every person who furnishes labor, professional services, materials ... shall, as a necessary prerequisite to the validity of any claim of lien, serve the owner ... with a written preliminary twenty day notice," within 20 days of first furnishing. Keep every one — the file is your lien ledger                                                                                                                                                        | A.R.S. § 33-992.01(B), (C)       |
| <b>The rule for your contracts</b>   | The choice of who you sign a direct written contract with is the choice of who can lien your house. Sign directly with the trades you hire; let each trade buy its own materials and hire its own help; and collect a signed lien waiver at every payment regardless                                                                                                                                                                                                                                                | Kit rule                         |

## WHO MAY HELP YOU — THREE LAWFUL CATEGORIES AND ONE CRIME

The paragraph allows the work to be done "themselves, with their own employees or with duly licensed contractors." That is the whole list. The rest of the chapter fills in the edges, and the edges are where owner-builders get hurt.

### The three lawful categories, and the two that look lawful and are not

| Who                                                    | The rule                                                                                                                                                                                                                                                                                                                                                                                                                         | Cite                    |
|--------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|
| <b>Yourself</b>                                        | Any part of the work, including the gas connection and the fire-safety wiring that a helper may not touch (below)                                                                                                                                                                                                                                                                                                                | A.R.S. § 32-1121(A)(5)  |
| <b>Your wage employees</b>                             | The chapter does not apply to "Any person who engages in the activities regulated by this chapter, as an employee of an exempt property owner or as an employee with wages as the person's sole compensation." A helper paid <b>wages</b> is lawful. A helper paid by the job, by a share of the work, or in kind is not an employee — and "in kind" includes a place to sleep (see part 5 of the exemption)                     | A.R.S. § 32-1121(A)(11) |
| <b>Licensed contractors</b>                            | Verify at the Registrar: the recovery fund covers you only if the contractor was licensed on "1. The date that the underlying contract was signed. 2. The date that the first payment was made. 3. The date that the underlying work first commenced"                                                                                                                                                                            | A.R.S. § 32-1132(C)     |
| <b>Not the "casual work" helper</b>                    | Unlicensed work under \$1,000 "of a casual or minor nature" is exempt — but "This exemption does not apply: (a) In any case in which the performance of the work requires a local building permit. (b) In any case in which the work or construction is only a part of a larger or major operation." A house build is both                                                                                                       | A.R.S. § 32-1121(A)(14) |
| <b>Never gas or fire-safety work by a non-employee</b> | The casual and handyman exemptions never reach "All fire safety and mechanical, electrical and plumbing work that is done in connection with fire safety installation" — hardwired or interconnected smoke alarms and sprinklers — or "All work done ... that involves connecting to any supply of natural gas, propane or other petroleum or gaseous fuel." You may do it; a licensed contractor may; a day-rate helper may not | A.R.S. § 32-1121(D)     |

### The crime — and who it falls on

"It is unlawful for any person ... to engage in the business of, submit a bid ... act or offer to act in the capacity of or purport to have the capacity of a contractor without having a contractor's license ... **Evidence of securing a permit from a governmental agency or the employment of a person on a construction project shall be accepted in any court as prima facie evidence of existence of a contract**" (A.R.S. § 32-1151).

Contracting without a license is a **class 1 misdemeanor** with a fine "not less than one thousand dollars" for a first offense and "not less than two thousand dollars" thereafter (§ 32-1164(A)(2), (B)). An unlicensed contractor cannot sue you to collect (§ 32-1153) and "shall not have the lien rights" (§ 33-981(C)).

The chapter penalizes the unlicensed *contractor*, not the owner who hired one: "Only contractors as defined in this section are licensed and regulated by this chapter" (A.R.S. § 32-1101(B)). Your exposure is practical — no recovery fund, no Registrar complaint, and, if the helper was not a wage employee, a workers' compensation and injury problem that is entirely yours.

## ARIZONA LICENSES CONTRACTORS, NOT TRADESPEOPLE

A "contractor" is anyone who "for compensation" builds, alters or repairs a structure or does "any part thereof," including one who "Connect[s] such a structure or improvements to utility service lines and metering devices and the sewer line" and who "Provide[s] mechanical or structural service" (A.R.S. § 32-1101(A)(3)). Then the sentence that settles the do-it-yourself question at the state level: "Only contractors as defined in this section are licensed and regulated by this chapter" ((B)). And the definition of residential contractor "Does not include an owner making improvements to the owner's property pursuant to section 32-1121, subsection A, paragraph 5" (§ 32-1101(A)(10)(b)).

Title 32 has one construction chapter — Chapter 10, Contractors — and no chapter for electricians, plumbers or HVAC technicians as individuals; trade competence is a matter for the licensed entity's qualifying party (§ 32-1101(A)(8)). **So owner-occupant electrical and plumbing is not a "varies locally" question at the state level.** The local variable is whether your city or county will *issue* a homeowner the trade permit, and the jurisdictions' own sites answer it the same way every time:

### Three cities, one line — from their own building pages, September 2026

| City            | What it says                                                                                                                                                    |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Chandler</b> | The owner-applicant may perform the work; "If you own a home that you lease or rent to others, a licensed contractor is required"                               |
| <b>Tucson</b>   | An Owner/Builder Affidavit is required; "Rental units are considered commercial property and all commercial permits require a licensed contractor"              |
| <b>Goodyear</b> | "If you own the house and live in it, you do not need to hire Licensed Contractors ... If you own the house and rent it out, Licensed Contractors are required" |

*That line is § 32-1121(A)(5)'s "not intended ... for rent," applied at the counter. No city site read for this kit limits homeowner electrical permits to particular tasks; the limit is the building's use. Whether any Arizona city licenses tradespeople by its own ordinance was not verified for all 91 municipalities — none of the twenty read mentions one — so ask, in writing, before you assume.*

## THE STATEMENT YOU SIGN — A.R.S. § 32-1169

Every summary that says Arizona has "no statewide owner-builder form" is right about the form and wrong about the thing that matters. The *form* is local. The *content* is statutory, it is on every building-permit application in the state, and a false one is a crime.

### Arizona Revised Statutes § 32-1169, verbatim

"A. Each county, city or other political subdivision or authority of this state ... that requires the issuance of a building permit as a condition precedent to the construction ... of a building ... for which a license is required under this chapter, as part of the application procedures which it uses, **shall require that each applicant for a building permit file a signed statement that the applicant is properly licensed** to perform the work described in the permit under this chapter with the applicant's license number. **If the applicant purports to be exempt from the licensing requirements of this chapter, the statement shall contain the basis of the asserted exemption and the name and license number of any general, mechanical, electrical or plumbing contractor who will be employed on the work.** The local issuing authority may require from the applicant a statement signed by the registrar to verify any purported exemption.

B. The filing of an application containing false or incorrect information concerning an applicant's contractor's license with the intent to avoid the licensing requirements of this chapter is **unsworn falsification pursuant to section 13-2704.**"

- **The "Owner/Builder Affidavit," "Owner-Builder Declaration," "Owner Builder Form" and "verification" your city hands you are all the same thing** — that jurisdiction's implementation of (A). Twelve of the jurisdictions read name one (AZ.5 lists them); Maricopa County's FAQ cites the section itself: "Written documentation of an Arizona licensed contractor or owner-builder classification is required for all building permits per state law. Refer to ARS 11-1605, 32-1121, 32-1151, and 32-1169."
- **You must know your licensed subs at application, not after.** The statement names "any general, mechanical, electrical or plumbing contractor who will be employed on the work," with license numbers. AZ.2 puts that list before the permit application in the checklist.
- **Ask whether the counter wants the Registrar's signature.** The issuing authority "may require ... a statement signed by the registrar to verify any purported exemption." Which counters do was not verified for any jurisdiction; if yours does, get it first.
- **Weigh the two rules by their teeth.** The one-year sale rule is civil and rebuttable. A false § 32-1169 statement is unsworn falsification — a criminal offense. Naming a licensed sub you do not intend to use, or claiming the exemption for a house you mean to rent, is the second kind.

## WHEN YOU HIRE — THE CONTRACT, THE FUND, AND THE TWO-YEAR WINDOW

Every contract "in an amount of more than \$1,000 entered into between a contractor and the owner of a property to be improved shall contain in writing at least": the contractor's name, business address and license number; your name and mailing address and the jobsite address or legal description; the contract date and "The estimated date of completion"; a description of the work; "The total dollar amount ... including all applicable taxes"; "The dollar amount of any advance deposit"; "The dollar amount of any progress payment and the stage of construction at which the contractor will be entitled to collect progress payments"; and notice of your right to complain to the Registrar within two years, "prominently displayed in the contract in at least ten-point bold type" (A.R.S. § 32-1158(A)). None of it is "a prerequisite to the formation or enforcement of a contract" ((C)) — a drafting minimum, not a defense — and the contractor must give you "a legible copy of all documents signed and a written and signed receipt for ... any cash paid" ((B)).

**No statutory deposit cap exists in Arizona.** Add your own deposit limit, a lien-waiver-at-every-payment term and a retainage term as negotiated items, and label them as yours. **The recovery fund is open to you:** an individual who "Owns residential real property that is damaged by the failure of a residential contractor to adequately build or improve a residential structure" and "Actually occupies or intends to occupy" it "as the individual's primary residence" may claim (A.R.S. § 32-1132(B)(1)) — but only for damage by a licensed residential contractor, which is one more reason the licensed-sub route matters. **The window is two years from the day you move in:** a complaint on a new home build must be filed "within two years after the earlier of the close of escrow or actual occupancy" (A.R.S. § 32-1162(A)(1)) — not from the day the defect appears.

## WORKERS' COMPENSATION — THE HONEST POSITION

No Arizona statute says in terms that a homeowner building a personal residence is, or is not, an "employer." What the statutes do say: employers subject to the chapter include "every person who employs any workers or operatives regularly employed in the same business or establishment under contract of hire ... except domestic servants," and "'regularly employed' includes all employments ... **in the usual trade, business, profession or occupation of an employer**" (A.R.S. § 23-902(A)). "Employee" excludes "a person whose employment is both: (i) Casual. (ii) Not in the usual course of the trade, business or occupation of the employer" (§ 23-901(6)(b)).

### What that two-part test means, and the paper to have

The exclusion needs **both** halves — casual, *and* outside your usual trade. Building your own house is outside your trade unless you are in construction; whether a helper paid by the day for three months is "casual" is a fact question no statute answers, so this kit does not tell you that day labor is exempt.

Have the paper regardless: a written independent-contractor agreement with the statutory statements "creates a rebuttable presumption of an independent contractor relationship" if it discloses that the contractor is not entitled to workers' compensation from you (A.R.S. § 23-902(D)); a sole proprietor may sign the statutory waiver — "I am a sole proprietor ... I am not the employee of ... for workers' compensation purposes" (§ 23-961(N)); and every licensed contractor you hire should hand you a certificate. Then put the coverage question to the Industrial Commission of Arizona in writing before the first day of paid labor, and keep the answer with the deed.

## QUALIFICATION CHECKLIST — WORK THIS WITH A PEN

**Confirm each of these before you break ground**

|                          | Item                                                                                                                                                                                                                                                                                              | Date | Notes |
|--------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|-------|
| <input type="checkbox"/> | My deed or purchase contract is recorded with the county recorder in my own name as a natural person, and the recording date is before any construction began (§ 33-1002(A)(2)(a)):<br><br>Recorded _____ Instrument no. _____                                                                    |      |       |
| <input type="checkbox"/> | I intend to live in the house at least thirty days within the year after it is finished, and I do not intend to sell or lease it (§ 33-1002(A)(2)(b)). I will not list it, advertise it, or let anyone live in it in exchange for work inside that year (§ 32-1121(A)(5)).                        |      |       |
| <input type="checkbox"/> | I know whether my parcel is inside city limits, and which adopting ordinance — city or county — sets the code edition on my permit (§ 9-802; § 11-864). Ordinance number and date:<br><br>Jurisdiction _____ Ordinance _____<br><br>Date _____                                                    |      |       |
| <input type="checkbox"/> | If I am using the Cochise or Coconino opt-out: I qualify on acreage and zoning, I know the notice will be recorded against my title and no (or a conditioned) certificate of occupancy will issue, and I will date the "completion" that starts the one-year clock:<br><br>Program / option _____ |      |       |

**Confirm each of these before you break ground**

|                          | Item                                                                                                                                                                                                                                                                                                                                    | Date | Notes |
|--------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|-------|
| <input type="checkbox"/> | Every person I pay is a wage employee (§ 32-1121(A)(11)) or a licensed contractor verified at the Registrar on the contract, first-payment and start dates (§ 32-1132(C)). Nobody is paid by the job, by a share, or with a place to sleep:<br><br>Licensed subs and ROC nos. _____                                                     |      |       |
| <input type="checkbox"/> | My § 32-1169 statement names § 32-1121(A)(5) as the basis and lists every licensed general, mechanical, electrical and plumbing contractor I will use, with license numbers — and I asked whether the counter wants the Registrar's signature on it.                                                                                    |      |       |
| <input type="checkbox"/> | Every contract over \$1,000 has the § 32-1158(A) contents plus my own deposit and lien-waiver terms; I keep a file of every preliminary twenty-day notice (§ 33-992.01); and I put the workers' compensation question to the Industrial Commission in writing before the first day of paid labor:<br><br>ICA asked _____ Answered _____ |      |       |

**Everything cited here is free to read.** Statutes are at [azleg.gov](http://azleg.gov), one section per page ([azleg.gov/ars/32/01121.htm](http://azleg.gov/ars/32/01121.htm) — title unpadded, section padded to five digits). Rules are the Arizona Administrative Code, one PDF per chapter at [apps.azsos.gov](http://apps.azsos.gov) and reproduced section by section at [law.cornell.edu/regulations/arizona](http://law.cornell.edu/regulations/arizona). **One warning:** the Registrar of Contractors licenses contractors, not owners, and it is not your building department — the city or county is. Read September 2026.